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August 18, 2025

The Honorable Jamison Greer
United States Trade Representative
600 17th Street NW
Washington, DC 20508

Re: USTR-2025-0043 (Section 301 Investigation of Acts, Policies, and Practices of Brazil)

Dear Ambassador Greer,

On behalf of members of the Agricultural Council of Arkansas, an organization representing farmers, landowners, and agriculture related businesses involved in row-crop production in Arkansas, we want to express our support for the United States Trade Commission's investigation into Brazil under Section 301 of the Trade Act of 1974. We support the efforts of the United States Trade Representative to challenge Brazil for their activities in the world economy, especially as they relate to agriculture.

American farmers, including those in Arkansas growing crops such as soybeans, cotton, corn, and rice, are being harmed substantially in the global market due to acts, policies, and practices of Brazil as they've substantially increased the production of many of agricultural commodities through land conversions of natural habitat into crop production and under heavy subsidization from China, which is fueling this expansion.

The conversion of land area, we believe, is highly detrimental to the planet's climate and many species, including migratory species from North America. Much of the land area was previously forest or savanna, and considered natural habitat. The effect of deforestation and land conversion is likely to have a substantially negative impact on the planet's climate and ecosystem. The scope and scale of this expansion is vast, and it's accelerated substantially over the last decade and a half, with no clear end point.

For farmers in Arkansas and across the United States, Brazil's expansion in crop production has increased global demand for crop inputs, which has led to substantially high input costs. It also has flooded the global market with a glut of raw agricultural commodities, which has led to very low prices received for crops grown by American farmers. This disparity in production costs and prices received is estimated to cost Arkansas crop farmers $1.145 billion in net operating losses according to economists with the University of Arkansas System Division of Agriculture.

What's equally concerning to the land conversion and crop expansion in Brazil is the role that China plays in fueling the activity. Brazil's participation in Belt and Road Initiatives (BRI) and the BRICS+ coalition have led to a flood of direct investment from China into Brazil to expand the capacity, reach, and leverage over the production of agricultural commodities in Brazil.

State-owned enterprises from China are sprinkled across Brazil, and it's becoming more evident that Brazil's activities in agriculture are becoming integrated under the control of China, which has a pattern of practice by China across economic sectors of making government investments in economic sectors that lead to overproduction that cause economic injury to other participants in the global marketplace. To accomplish such goals, they often steal intellectual property and exert corrupt practices through economic or political coercion.

We urge all aspects of the federal government to further analyze this concern and threat. If left unfettered, we believe American agriculture will be severely damaged with many farmers forced out of business and many American agriculture companies losing market share in the global market due to unfair and illegal practices.

Thank you for considering our concerns as you examine this case.

Sincerely,

Joe Mencer
President
Agricultural Council of Arkansas